34. Share-based payment continued

3.8 million share incentives were granted during 2019 (2018 2.7 million). The fair value of share incentives has been estimated as at the date of grant using the Black-Scholes binomial model. The following table gives the assumptions made in arriving at the share-based payment charge and the fair value:

	2019	2018
Weighted average share price (pence)	163.1	112.9
Weighted average exercise price (pence)	0.0	0.0
Weighted average fair value (pence)	141.1	95.1
Expected volatility (%)	31.6-32.8	30.6
Option life (years):		
– Performance Shares	3.0	3.0
– Options and SARs	10.0	10.0
Risk free rate (%)	0.48-0.72	0.88
Dividend yield (%)	2.5-3.0	3.0

The expected volatility was determined by calculating the historical volatility of the Company's share price over the previous two years which management considers to be the period which is likely to be most representative of future volatility. The risk free rate is calculated by reference to UK government bonds.

35. Reconciliation of profit before tax to cash generated from operations

	2019 $ million	2018 $ million
Profit before tax	89.6	61.2
Adjustments for:		
Finance income	(2.8)	(1.4)
Finance costs	1.8	0.1
Intangible asset amortisation	2.1	4.3
Depreciation of property, plant and equipment	14.7	16.5
Depreciation of right-of-use assets	7.5	–
Loss on the disposal of property, plant and equipment	0.2	–
Gain on divestment	–	(2.4)
Share-based payment	3.9	2.8
Changes in working capital		
Deferred income released	(3.0)	(2.5)
Increase in receivables	(4.4)	(11.5)
Decrease/(increase) in inventories	7.0	(1.7)
Increase/(decrease) in payables	18.7	(4.7)
(Decrease)/increase in provisions	(5.4)	7.6
Defined benefit pension plan employer contributions net of administration expenses paid by the plan	(5.9)	(6.7)
Defined benefit pension plan re-measurement (GMP equalisation)	–	4.0
Deferred compensation plan	0.9	0.3
Cash flow from operations	124.9	65.9

36. Divestments

There were no divestments in 2019 or 2018.

The gain on divestments in 2018 of $2.4 million represents the repayment of a $2.0 million loan from the subsidiaries the Group divested of on 30 June 2017, together with the release of a $0.5 million provision related to unsettled legal claims from a disposal the Group made in 2012. The $2.0 million loan had previously been impaired. The Group also incurred legal fees of $0.1 million related to the divestments made in 2017. The net cash inflow from divestments in 2018 was $1.8 million.